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25-CIV-01366 PRALUMEX, INC. VS FIBRE TRADE, INC.

LINE 4

PRALUMEX, INC.
FIBRE TRADE, INC.

EDWARD C. IP
DAVID C. CASARRUBIAS

DEFENDANT: FIBRE TRADE, INC'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT

TENTATIVE RULING:

Defendant Fibre Trade, Inc.'s ("Defendant") Demurrer to Plaintiff Pralumex Inc.'s ("Plaintiff") First Amended Complaint is SUSTAINED, WITHOUT LEAVE TO AMEND as to the 1st, 4th, 5th, 8th, 12th, 13th, 14th, 15th, and 16th causes of action; SUSTAINED, WITH LEAVE TO AMEND as to the 3rd and 11th causes of action; and OVERRULED as to the 2nd, 6th, 7th, 9th, and 10th causes of action.

This is a qui tam action alleging that several companies involved in the trade and transport of recyclable materials engaged in fraudulent practices.

"A demurrer is a pleading used to test the legal sufficiency of other pleadings. I.e., it raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, petition, answer or cross-complaint). [CCP §§ 422.10, 589; see *Donabedian v. Mercury Ins. Co.* (2004) 116 CA4th 968, 994, 11 CR3d 45, 64 (citing text); *Lewis v. Safeway, Inc.* (2015) 235 CA4th 385, 388, 185 CR3d 228, 229 (citing text); *SJJC Aviation Services, LLC v. City of San Jose* (2017) 12 CA5th 1043, 1051-1052, 219 CR3d 637, 645—demurrer properly used to challenge petition for writ of mandate]. [¶] It is not the function of a demurrer to challenge the truthfulness of the complaint; and for purposes of the ruling on a demurrer, all facts pleaded in the complaint are assumed to be true however improbable they may be (see ¶ 7:43 ff.)." (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2025 Update) ¶ 7:5, emphasis original.)

"Judges will not sustain a demurrer unless the basis for the demurrer is clearly well taken. The complaint must be 'liberally construed, with a view to substantial justice between the parties.' [CCP § 452; see *Stevens v. Sup.Ct. (API Ins. Services, Inc.)* (1999) 75 CA4th 594, 601, 89 CR2d 370, 374; *Perez v. Golden Empire Transit Dist.* (2012) 209 CA4th 1228, 1238, 147 CR3d 709, 716—where allegations are subject to different reasonable interpretations, court must draw "inferences favorable to the plaintiff, not the defendant"]." (Id. at ¶ 7:124.)

"Even if a demurrer is sustained, leave to amend the complaint is routinely granted. Courts are very liberal in permitting amendments, not only where a complaint is defective in form, but also where substantive defects are apparent: 'Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.' [*Angie M. v. Sup.Ct. (Hiemstra)* (1995) 37 CA4th 1217, 1227, 44 CR2d 197, 204; *Stevens v. Sup.Ct. (API Ins. Services, Inc.)* (1999) 75 CA4th 594, 601, 89 CR2d 370, 375]." (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2025 Update) ¶ 7:129.) "It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. [Citations] [¶] But the court should deny leave to amend where the facts are not in dispute and no liability exists under substantive law." (Id. at ¶ 7:129.1, emphasis original.)

1st cause of action – Order for Accounting and Request for Bifurcation

Plaintiff has failed to demonstrate that there is a relationship between Plaintiff and Defendant that requires an accounting, or that there is a balance due that can only be ascertained by an accounting. The FAC requests damages based on the costs of storage, transportation, repatriation, and related expenses. Plaintiff has failed to demonstrate that the calculation of these costs is so complex as to necessitate an accounting by the court.

Through this cause of action, Plaintiff also requests a full forensic accounting of all California Redemption Value (“CRV”)-related transactions involving Defendant over the past five years. Plaintiff has failed to demonstrate that its status as a qui tam plaintiff entitles it to this remedy. Government Code § 12652 authorizes qui tam plaintiffs under the California False Claims Act (“CFCA”). That section provides that a qui tam plaintiff may bring a civil action for a violation of “this article,” i.e., the CFCA. The CFCA does not contemplate a private party’s authority to bring an action for equitable accounting going back five years, and Plaintiff does not provide any authority demonstrating that this is an authorized remedy.

2nd cause of action – Breach of contract

Plaintiff alleges in the FAC that it sent a purchase order to Defendant for the exchange of forty thousand pounds of recycled polyethylene terephthalate (“PET”) Bottle A Grade material, and that Defendant sent a shipment pursuant to the purchase order. (FAC, ¶¶ 26, 33.) “[A]n order or other offer to buy goods for prompt or current shipment shall be construed as inviting acceptance either by a prompt promise to ship or by the prompt or current shipment of conforming or non-conforming goods.” (Uniform Commercial Code § 2-206.) Plaintiff has therefore alleged a contract because it has alleged an offer (the purchase order) and acceptance (the shipment).

Plaintiff alleges that the purchase order contained the following term: “KINDLY TAKE LOADING PHOTOS SHOWING EVERY ROW OF MATERIAL LOADED INTO THE CONTAINER, INCLUDING SEAL NUMBER.” (FAC, ¶ 26, Ex. 1.) Plaintiff then alleges that “[o]n September 9, 2024, Pralumex requested loading photos of Subject Shipment. In response, Derik Abenojar of Fibre Trade stated to Pralumex that the loader was unable to take photos of subject shipment [See **Exhibit 7**], a failure to comply with Pralumex’s numerous requests and a directly [sic] violation PO#30980’s express terms.” (FAC, ¶ 38, emphasis original.) Plaintiff has therefore alleged a breach of a term of the alleged contract.

3rd cause of action – Breach of implied covenant of good faith and fair dealing

Plaintiff contends in its opposition that this cause of action is pled in the alternative, but the FAC does not reflect this. As currently pled, this cause of action relies on the same facts as the second cause of action and seeks the same damages and is therefore subject to demurrer. (See *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395-1401.)

4th and 5th causes of action – Negligent and intentional misrepresentation

Plaintiff does not allege any damages resulting from the alleged negligent and intentional misrepresentation beyond “arranging for the receiving, storage, and subsequent transportation of Subject Shipment in accordance with industry procedure.” (FAC, ¶ 99, see also ¶¶ 100, 105.) These damages arise from the contract (i.e., purchase order) between the parties; therefore, these causes of action are barred under the economic loss rule. (See *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20.)

Plaintiff also fails to allege facts demonstrating an intent to induce reliance, an essential element of both causes of action. (See *National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc.* (2009) 171 Cal.App.4th 35, 50 [listing elements of negligent misrepresentation] and *Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1245 [listing elements of intentional misrepresentation].) Instead, Plaintiff alleges as to the cause of action for negligent misrepresentation that “[e]ach and every time Pralumex brought these discrepancies to Fibre Trade, Fibre Trade either admitted errant performance due to honest mistake or claimed to be unawares.” (FAC, ¶ 98.) While Plaintiff alleges as to the cause of action for intentional misrepresentation that “[t]hus, Defendants have acted recklessly in their representations and without regard for its truth, of which they intended for Pralumex to rely, and of which Pralumex reasonably relied given the reputation and experience of Defendants within the industry,” the Court finds that this statement is conclusory.

6th - 10th causes of action – Violations of various sections of the California Beverage Container Recycling and Litter Reduction Act

The California Beverage Container Recycling and Litter Reduction Act (“CBCRLRA”) is codified at Public Resources Code (“PRC”) §§ 14500 to 14599. Plaintiff brings causes of action pursuant to several sections of the CBCRLRA which do not grant an explicit right of private enforcement. “But our Supreme Court has held the absence of an ‘express right to sue’ is not dispositive.” (*Shamsian v. Department of Conservation* (2006) 136 Cal.App.4th 621, 633 (emphasis original); citing *Santa Clara County Counsel Attys. Assn. v. Woodside* (1994) 7 Cal.4th 525, 539.) The *Shamsian* court found that the statute at issue in that case, PRC § 14501, subdivision (g), was a statement of legislative intent and that based on its language, it “does not impose a mandatory duty the breach of which gives rise to a private right of action.” (*Shamsian, supra*, 136 Cal.App.4th at 633-634.) Following the analysis of the *Shamsian* court, this Court looks at the language of each of the PRC sections alleged by Plaintiff to have been violated by Defendant to determine whether the section contemplates a private right of action.

6th c/a

PRC § 14538(d)(6)(B) states, “A certified recycling center shall not claim refund values, processing payments, or administrative fees on empty beverage containers that the certified recycling center knew, or should have known, come from out of the state, or are otherwise ineligible for redemption.”

The use of the words “shall not” suggests that this language gives rise to a mandatory duty.

Section 14538(a)(1), the first portion of the section that contains the above subsection, states that “The department shall certify an operator of a recycling center pursuant to this section.” This subsection suggests that the provisions of the section are standards that the department, i.e., CalRecycle, will use to assess whether a recycling center shall be certified. But this language does not suggest that the legislature intended to exclude a private party from filing a lawsuit pursuant to the section.

7th c/a

PRC § 14538(d)(7) states:

A certified recycling center shall prepare and maintain the following documents involving empty beverage containers, as specified by the department by regulation:

- (A) Shipping reports that are required to be prepared by the recycling center, or that are required to be obtained from other recycling centers.
- (B) Consumer transaction receipts.
- (C) Consumer transaction logs.
- (D) Rejected container receipts on materials subject to this division.
- (E) Receipts for transactions with beverage manufacturers on materials subject to this division.
- (F) Receipts for transactions with beverage distributors on materials subject to this division.
- (G) Documents authorizing the recycling center to cancel empty beverage containers.
- (H) Weight tickets.

The use of the word “shall” suggests that this language gives rise to a mandatory duty.

8th c/a

PRC § 14595 states: “The Legislature finds and declares that the redemption of beverage container material imported from out of state, previously redeemed containers, rejected containers, and line breakage presents a significant threat to the integrity of the beverage container recycling program and fund. It is therefore the intent of the Legislature that no refund value or other recycling program payments be paid to any person for this material. It is further the intent of the Legislature that any person participating in conduct intended to defraud the state's beverage container recycling program shall be held accountable for that conduct.”

The language of this section is very similar to the language found in *Shamsian, supra*, not to impose a mandatory obligation giving rise to a private right of action. The language suggests that this is a statement of legislative intent.

9th c/a

PRC § 14595.5(a) states:

- (a)(1) No person shall pay, claim, or receive any refund value, processing payment, handling fee, or administrative fee for any of the following:
 - (A) Beverage container material that the person knew, or should have known, was imported from out of state.
 - (B) A previously redeemed container, rejected container, line breakage, or other ineligible material.

The following subsection, 14595.5(b) states, “For purposes of implementing subdivision (a), the department shall take all reasonable steps to exclude beverage container material imported from out of state, previously redeemed containers, rejected containers, and line breakage, when conducting surveys to determine a commingled rate pursuant to Section 14549.5.” While this language suggests that CalRecycle has certain authority to implement the statute, the language does not suggest an intent to bar a private right of action.

As with the 6th and 7th c/a's, the statutory language here suggests imposition of a mandatory duty.

10th c/a

PRC § 14597(b) states: “No person shall submit, or cause to be submitted, a fraudulent claim pursuant to this division. For purposes of this subdivision, a fraudulent claim is a claim based in whole or in part on false information or falsified documents. Any person who submits a fraudulent claim is subject to the assessment of penalties pursuant to subdivision (b) of Section 14591.1. The department may take action for full restitution for a fraudulent claim, pursuant to Section 14591.4, and may also take disciplinary action pursuant to Section 14591.2 including, but not limited to, revocation of any certificate or registration.”

This section contemplates penalties for violation of the section and describes CalRecycle's ability to take disciplinary action pursuant to the section. However, this language does not suggest an intent to exclude the possibility that a private citizen can also sue for violation of the section.

11th cause of action – Violation of BPC § 17048

Business and Professions Code (“BPC”) § 17048 states, “It is unlawful for any manufacturer, wholesaler, distributor, jobber, contractor, broker, retailer, or other vendor, or any agent of any such person, jointly to participate or collude with any other such person in the violation of this chapter.”

Plaintiff fails to identify the specific provision it alleges Defendant has violated. Additionally, Plaintiff has failed to plead the facts constituting collusion with specificity, and instead only alleges in a conclusory manner that “Defendants colluded in submitting and attempting to receive illegitimate California Redemption Value claims based on the accounting of the September 3rd, 10th, and 12th Reports.” (FAC, ¶ 15 [p. 29]; see *Zander v. Casualty Ins. Co. of Cal.* (1968) 259 Cal.App.2d 793, 806.)

12th cause of action – Violation of Gov. Code § 12651(a)

Defendant argues that Plaintiff failed to comply with the seal requirement of the CFCA, warranting dismissal of the FAC with prejudice. Defendant cites *U.S. ex rel. Pilon v. Martin Marietta Corp.* (2d Cir. 1995) 60 F.3d 995 and *U.S. ex rel. Lujan v. Hughes Aircraft Co.* (9th Cir. 1995) 67 F.3d 242, but neither case suggests that dismissal is proper given the circumstances here. The court in *U.S. ex rel. Pilon* found that the plaintiff's failure to comply with the requirement that a CFCA complaint be filed under seal frustrated the interests protected by the requirement, and that the plaintiff had failed to comply in bad faith. (*U.S. ex rel. Pilon, supra*, 60 F.3d at 999-1000.) And *U.S. ex rel. Lujan* clarified that “violation of [the CFCA's seal requirement] does not *per se* require dismissal of the *qui tam* complaint.” (*U.S. ex rel. Lujan, supra*, 67 F.3d at 245.)

Plaintiff filed its complaint on February 19, 2025, and its FAC on May 23, 2025. About a month later, on June 26, 2025, Plaintiff filed an ex parte application for an order sealing the FAC and all court records. Plaintiff stated in the application that the FAC was inadvertently filed publicly and noted its desire to comply with the purposes of the CFCA. Plaintiff's counsel also stated in his declaration attached to the ex parte application that the original complaint was filed publicly through procedural error. The court (Hon. Finigan) granted the application as to the FAC and all documents filed in support of the ex parte. These facts are highly distinguishable from the cases cited by Defendant and do not reflect bad faith on Plaintiff's part. The record does not demonstrate that dismissal is warranted on this basis.

The Court does, however, find that Plaintiff has failed to adequately plead a violation of Gov. Code § 12651. Gov. Code Section 12651 states, in relevant part:

(a) Any person who commits any of the following enumerated acts in this subdivision shall have violated this article and shall be liable to the state or to the political subdivision for three times the amount of damages that the state or political subdivision sustains because of the act of that person. A person who commits any of the following enumerated acts shall also be liable to the state or to the political subdivision for the costs of a civil action brought to recover any of those penalties or damages, and shall be liable to the state or political subdivision for a civil penalty of not less than five thousand five hundred dollars (\$5,500) and not more than eleven thousand dollars (\$11,000) for each violation

(1) Knowingly presents or causes to be presented a false or fraudulent claim for payment or approval.

(2) Knowingly makes, uses, or causes to be made or used a false record or statement material to a false or fraudulent claim.

Even if the court considers Plaintiff's argument that it is suing under the "causes to be presented" language, Plaintiff has failed to allege a violation because it has not alleged facts showing that either Defendant or Plaintiff presented a claim to CalRecycle for payment or approval. Plaintiff confirms this in its opposition, when it states, "who made the false claims – Berkeley Recycling submitted the DR-6 reports, **Fibre Trade presented them to Pralumex**, and Altus Receivables demanded payment." (Opp., p. 19:24-26 (emphasis added).) "The CFCA is intended 'to supplement governmental efforts to identify and prosecute fraudulent claims made against state and local governmental entities.' [Citation]." (*JPMorgan Chase Bank, N.A. v. Superior Court* (2022) 85 Cal.App.5th 477, 488.) Plaintiff is not a public entity. Plaintiff does not allege that it presented the claims to CalRecycle either. Plaintiff alleges that it "formally notified Fibre Trade of its inability to process the DR-6 shipping reports and the related DR-7 reimbursement claim" (FAC, ¶¶ 53, 56) and later "coordinated with CalRecycle regarding the transfer of Subject Shipment to Defendants' new buyer Ming's Resource East Bay Corp." (FAC, ¶ 65.)

Plaintiff's claim independently fails because it does not allege damages. (See FAC, ¶¶ 69-70 [describing a hypothetical scenario of damages that would have been incurred if Plaintiff had accepted and processed the shipment from Defendant].) Plaintiff's opposition confirms this where Plaintiff argues that "Defendants' inflated CRV claims, if processed, would have resulted in fraudulent reimbursements . . ." (Opp., p. 20:6-8.)

13th - 15th c/a – Violations of various Penal Code sections

The Court makes no findings as to whether each of the following sections allows for a private right of action, though defendant's argument on this point has merit and appears to provide an alternative grounds for sustaining, but the Court sustains the demurrer to each cause of action on independent grounds.

13th c/a

Penal Code § 182 defines conspiracy as:

(a) If two or more persons conspire:

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- (1) To commit any crime.
 - (2) Falsely and maliciously to indict another for any crime, or to procure another to be charged or arrested for any crime.
 - (3) Falsely to move or maintain any suit, action, or proceeding.
 - (4) To cheat and defraud any person of any property, by any means which are in themselves criminal, or to obtain money or property by false pretenses or by false promises with fraudulent intent not to perform those promises.
 - (5) To commit any act injurious to the public health, to public morals, or to pervert or obstruct justice, or the due administration of the laws.
 - (6) To commit any crime against the person of the President or Vice President of the United States, the Governor of any state or territory, any United States justice or judge, or the secretary of any of the executive departments of the United States.

The section states that if the above acts are committed, those involved are liable to punishment by imprisonment and fines.

Plaintiff alleges this penal code violation occurred through Defendant and others' fraud against the CRV program by "submitting illegitimate claims." (FAC, ¶ 23, p. 31.) Plaintiff argues in its opposition that this cause of action supports the factual basis for its CFCA cause of action. But as noted in the previous section, the CFCA applies to fraudulent claims presented to a public entity, and Plaintiff fails to allege presentment to CalRecycle. Plaintiff therefore fails to allege this penal code violation.

14th c/a

Penal Code § 424 states, in relevant part:

(a) Each officer of this state, or of any county, city, town, or district of this state, and every other person charged with the receipt, safekeeping, transfer, or disbursement of public moneys, who either:

[. . .]

3. Knowingly keeps any false account, or makes any false entry or erasure in any account of or relating to the same; or,

This allegation fails for the same reason as the 13th cause of action. Plaintiff alleges in the FAC that Berkeley Recycling created falsified reports which "were used to support **claims for CRV reimbursement from Pralumex**, a certified recycling processor, and served as the basis for subsequent invoices, sales, and collection efforts involving Fibre Trade and Altus Receivables." (FAC, ¶ 27, p. 32 (emphasis added).)

Plaintiff also fails to allege facts showing that this section is applicable to Defendant based on the parties identified in subsection (a). Plaintiff does not allege that Defendant is an officer of the state or a state entity and doesn't allege that Defendant has been "charged with the receipt, safekeeping, transfer, or disbursement of public moneys."

15th c/a

Penal Code § 487 states that grand theft includes the following:

If the value of the money, labor, real property, or personal property taken exceeds nine hundred fifty dollars (\$950) over the course of distinct but related acts, including acts committed against multiple victims or in counties other than the county of the current offense, the value of the money, labor, real property, or personal property taken may properly be aggregated to charge a count of grand theft, if the acts are motivated by one intention, one general impulse, and one plan. Evidence that distinct acts are motivated by one intention, one general impulse, and one plan may include, but is not limited to, evidence that the acts involve the same defendant or defendants, are substantially similar in nature, or occur within a 90-day period.

Plaintiff fails to allege that Defendant stole money. Plaintiff alleges that “Defendants submit [sic] and coordinated in their attempt to receive an illegitimate CRV claim . . .” and “Defendants sought to exploit the CRV program . . .” (FAC, ¶ 31 [p. 32].)

16th c/a – PAGA claim

PAGA is codified at Cal. Labor Code § 2698, *et seq.* and states that “any provision of this code that provides for a civil penalty to be assessed and collected by the Labor and Workforce Development Agency or any of its departments, divisions, commissions, boards, agencies, or employees, for a violation of this code, may, as an alternative, be recovered through a civil action brought by an aggrieved employee on behalf of the employee and other current or former employees against whom a violation of the same provision was committed pursuant to the procedures specified in Section 2699.3.” (Cal. Labor Code § 2699(a).) Plaintiff has failed to allege that it is an aggrieved employee, that Defendant is its employer, or that it gave notice to the LWDA as required to commence a PAGA action. (See Cal. Labor Code § 2699.3(a)(1).)

CCP § 1021.5 states in relevant part:

Upon motion, a court may award attorneys' fees to a successful party against one or more opposing parties in any action which has resulted in the enforcement of an important right affecting the public interest if: (a) a significant benefit, whether pecuniary or nonpecuniary, has been conferred on the general public or a large class of persons, (b) the necessity and financial burden of private enforcement, or of enforcement by one public entity against another public entity, are such as to make the award appropriate, and (c) such fees should not in the interest of justice be paid out of the recovery, if any.

As Plaintiff's own opposition admits, CCP § 1021.5 is not a standalone cause of action.

Accordingly, Defendant Fibre Trade, Inc.'s (“Defendant”) Demurrer to Plaintiff Pralumex Inc.'s (“Plaintiff”) First Amended Complaint is SUSTAINED, WITHOUT LEAVE TO AMEND as to the 1st, 4th, 5th, 8th, 12th, 13th, 14th, 15th, and 16th causes of action; SUSTAINED, WITH LEAVE TO AMEND as to the 3rd and 11th causes of action; and OVERRULED as to the 2nd, 6th, 7th, 9th, and 10th causes of action.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

Posted: 11:30 a.m.